recognize it or not (*structural* power). Despite the value of these more sophisticated articulations, it is nearly impossible to assess the extent of a rising country's power without recourse to the third major conceptualization (power as *relative capabilities*). Consequently, the chapter's second section examined the distribution of economic capabilities, noting both the comparative size of national economies and their growth rates, and contrasting the incumbent G7 powers on the one hand, to the BRICS club on the other. The data demonstrate an unambiguous relative advance of the BRICS vis-à-vis the G7, although this primarily reflects the relative rise of China, and eventually of India, and the comparative decline of Western Europe and Japan.

If material capabilities only represent potential power, then does the enhanced economic weight of the BRICS, as a club and individually, actually imply a shift toward global multipolarity? Section three of the chapter reviewed some complications of translating economic capabilities into actual influence. All the BRICS have increased their military expenditures, although Brazil and South Africa less so given their less conflict-prone locales, but several members, especially China and Russia, also have been eager to expand their regional geopolitical dominance. However, the BRICS club is not a military alliance, nor does it have any potential whatsoever to become one: in this sense, the BRICS as a group does not pose a security challenge to global stability.

The picture of shifting capabilities is more mixed when one turns to the global distribution of financial and monetary resources and their future implications, the subjects of this chapter's fourth and fifth sections. As compared to their positions in the late twentieth century, today the BRICS individually and as a group have deeper and more sophisticated domestic banks and capital markets, more openness to international trade and financial flows, and greater relative importance as issuers and purchasers of global financial assets. Nonetheless, the global diffusion of financial capabilities and the shift of reserve currency and other monetary capabilities toward China in particular lag the massive swing in its relative economic capabilities. Despite its impressive advance as a currency for trade invoicing and its recent inclusion in the IMF's unit of account (the SDR), China's RMB remains relatively unimportant as a global reserve currency. At the same time, China's government, particularly under President Xi Jinping, has committed itself to work actively to enhance and expand its international monetary and financial reach. The OBOR initiative to upgrade infrastructure serving about 75 percent of the world's population is another example of China's big ambitions, which could boost economic interdependence and the use of the RMB if it is successful. It also will unavoidably give China advantages in the competition over spheres of influence with its BRICS partners India and Russia.[164]

Overall, the findings of this chapter suggest that China is rising, and so are the BRICS as a collective entity, at least in the economic, and subsequently in the financial, sphere. If they remain able to hang together (a question addressed in Chapter 4), then the BRICS eventually might possess the necessary capabilities to challenge U.S. global economic and financial leadership and the Bretton Woods order. China especially has the potential to catch up to the United States in some dimensions of power.

Moreover, China and the BRICS do not need to equal the United States and the West to be able to increase their influence, deny certain outcomes preferred by the United States, and generate disruptive changes in the status quo. Given their increased capacities, notably Chinese financial heft, the BRICS already possess the resources to act independent of the United States and Bretton Woods institutions such as the IMF in what Setser calls "financial coalitions of the willing."[165] But they still fall far short of structural power. Absent a rise of the RMB as a genuine alternative to the U.S. dollar, inertia and incumbency, as well as the current weakness of potential alternatives, benefit continued U.S. dollar dominance. Thus, it is at best premature to look to the RMB as a serious global challenger, let alone a safe-haven currency, absent very significant liberal institutional reforms.[166]

Despite the emphasis throughout much of this chapter on the interstate distribution of material capabilities, perceptions of state power are not irrelevant. The Chinese repeatedly stress that they see the United States as weaker and themselves as stronger since the global financial crisis.[167] Meanwhile, the Donald Trump administration in the United States has signaled uncertainty about the web of post–World War II U.S. treaty, trade, and global governance commitments, despite subsequently reversing course to embrace *inter alia* NATO, selective trade deals, the Export-Import Bank, and the idea that China is not a currency manipulator, but instead potentially a valued partner. As the data presented here show, although the United States and its allies combined remain predominant, the objective capabilities of the Western allies in Europe and Japan are relatively declining and/or under stress, as in the case of the euro. As will be discussed in Chapter 3, this shift in capabilities puts these major U.S. allies out of line with their current institutional positions in the international order. The United States retains dominant structural power, but the rise of the BRICS shows that new competitors will seek to counteract American influence as much as possible.